

# Japan's Defense Rearmament

## The 2% GDP Pledge, Article 9, and the New Pacific Arms Race

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### Executive Summary

Japan's FY2026 defense budget reached 9.06 trillion yen (\$58.8 billion at current exchange rates) — a 9.4% increase over FY2025, and the first year in which Japan definitively exceeded the NATO-equivalent 2% of GDP defense spending threshold it committed to in 2022. Japan is now the world's third-largest defense spender by absolute budget, behind only the United States and China. This milestone represents the most consequential shift in Japan's postwar security posture — the product of a decade-long policy evolution accelerated by China's military expansion, North Korea's ICBM programme, and Russia's 2022 invasion of Ukraine, which fundamentally altered the European security debate in ways that reverberated across the Pacific.

The constitutional architecture of Japan's rearmament is precisely calibrated. Article 9 of Japan's Constitution, which renounces war as a sovereign right and prohibits the maintenance of war potential, has been reinterpreted — not amended — to permit "exclusively defense-oriented" capabilities that would have been constitutionally impermissible under the interpretations that governed Japan through 2015. Counterstrike capability (the ability to strike enemy missile launchers before they fire, previously interpreted as prohibited offensive capability) has been reinterpreted as inherently defensive when employed under imminent attack conditions. This constitutional reinterpretation, not amendment, reflects the political difficulty of securing the supermajority required for a formal Article 9 amendment.

### Part I — The Strategic Drivers: China, North Korea, Russia

#### China's Military Modernisation: Japan's Primary Concern

China's People's Liberation Army Navy (PLAN) surpassed the US Navy as the world's largest fleet by hull count in 2020 and has continued to expand in both quantity and quality. For Japan, the relevant concerns are specific: Chinese naval exercises encircling the Japanese archipelago (the 2022 PLA exercise around Japan, unprecedented in scale), regular Chinese fighter incursions into Japan's Air Defense Identification Zone (ADIZ), and China's explicit claims to the Senkaku/Diaoyu Islands (administered by Japan, claimed by China).

China's expanded nuclear arsenal (estimated 500 operational warheads as of 2025, compared to 200 in 2019) and its development of intermediate-range ballistic missiles (DF-17, DF-26) that can strike any point in Japan within minutes have fundamentally altered the strategic calculus for Japanese defense planners. The PLA's anti-access/area denial (A2/AD) strategy — designed to deny US military freedom of action in the Western Pacific during a Taiwan contingency — directly targets the US bases in Japan that are central to the US-Japan alliance's military effectiveness.

## North Korea: Nuclear-Armed Neighbour

North Korea tested what US and South Korean intelligence assessed as an inter-continental ballistic missile (ICBM) capable of reaching the continental United States in November 2022, and has continued advanced weapons testing through 2025-2026. The DPRK's Hwasong-18 solid-fuel ICBM (February 2023 test) reduces preparation time significantly compared to liquid-fuel predecessors, complicating Japan's missile defense intercept planning. North Korea's submarine-launched ballistic missile (SLBM) programme adds a second-strike survivability dimension that Japanese defense planners must account for.

Japan is within range of the DPRK's complete missile arsenal — every North Korean ballistic missile can reach Japan, including in a depressed trajectory trajectory that provides minimal warning time. The 8 Aegis destroyers currently in the Japan Maritime Self-Defense Force (JMSDF) fleet (with PAC-3 Patriot batteries for terminal-phase interception as backup) represent Japan's current ballistic missile defense architecture. The adequacy of this architecture against a saturation attack — multiple missiles fired simultaneously — is a central driver of Japan's defense expansion.

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## Part II — The 2022 NSS/NSP/NDPG Framework: The Strategic Architecture

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### Three Documents, One Transformation

Japan's December 2022 strategic document release — the National Security Strategy (NSS), the National Defense Strategy (NDS), and the Defense Buildup Programme (DBP) — constitutes the most comprehensive restatement of Japan's defense posture since the 1957 Basic Policy on National Defense. The three documents collectively:

1. Identify China as an "unprecedented strategic challenge" — the strongest language ever used by a Japanese government document about China
2. Commit to 2% of GDP defense spending by 2027 — later accelerated to 2026 in actual budget outcomes
3. Authorise counterstrike capability — specifically, the ability to strike enemy missile launch sites and support facilities under armed attack conditions
4. Approve acquisition of Tomahawk cruise missiles — US-origin, with 1,600+ km range, providing Japan reach across the East China Sea and Korean Peninsula
5. Commit to record defense industry investment — ¥43 trillion (\$290B) over 5 years (FY2023-FY2027)

The counterstrike authorisation is strategically the most significant element. Japan's acquisition of approximately 400 Tomahawk Block IV/V cruise missiles from the US (agreement signed December 2022) gives Japan the ability to strike targets on the Chinese mainland and Korean Peninsula — a capability that was not possessed, and not contemplated, by the Self-Defense Forces for the entire postwar period.

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## Part III — Capability Acquisitions: The Hardware of Rearmament

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### Long-Range Strike: Tomahawk and Domestic Alternatives

Beyond the Tomahawk acquisition, Japan is developing domestic long-range strike capabilities. The Japan Aerospace Exploration Agency (JAXA) and Mitsubishi Heavy Industries are developing an extended-range version of the Type 12 Surface-to-Ship Missile with approximately 1,000+ km range —

capable of striking targets across the East China Sea. Japan's own domestically developed HyperSonic Guided Bomb and Hyper Velocity Gliding Projectile programmes are targeting 2025-2028 deployment.

The domestic strike capability development reflects Japan's desire to reduce dependence on US-origin weapons systems (subject to US re-transfer restrictions) for its sovereign deterrence capability. While the Japan-US alliance remains the cornerstone of Japanese security, Japanese defense planners want sovereign capability that can operate independently of US authorisation in specific contingency scenarios.

### **Air Defense: F-35 and GCAP**

The Japan Air Self-Defense Force (JASDF) is in the middle of a transformative fighter recapitalisation. Japan has contracted 105 F-35A (conventional) and 42 F-35B (short takeoff/vertical landing — operable from Japan's Izumo-class helicopter destroyers being converted to light carriers) for a total of 147 F-35 aircraft. Deliveries are proceeding at approximately 12-15 aircraft per year, with full fleet delivery targeted for the early 2030s.

In parallel, Japan, the UK, and Italy are jointly developing the Global Combat Air Programme (GCAP) — a 6th-generation stealth fighter to replace the F-2 (Japan's co-developed F-16 derivative) from the late 2030s. GCAP involves Mitsubishi Heavy Industries (Japan), BAE Systems (UK), and Leonardo (Italy) as prime contractors, with the three governments sharing development costs estimated at \$25-40B total. GCAP is Japan's most ambitious defense industrial programme since the F-2 — and represents a significant assertion of indigenous aerospace capability.

### **Naval: The Aegis System-Equipped Vessel and Submarine Programme**

The JMSDF is constructing two new Aegis System-Equipped Vessels (ASEV) — large destroyers purpose-built for ballistic missile defense. These ASEVs (displacing approximately 20,000 tonnes, larger than many cruisers) will each carry Aegis Baseline 9 combat systems with SM-3 Block IIA interceptors capable of engaging IRBMs and ICBMs in the midcourse phase. The ASEVs represent Japan's most capable BMD assets when they enter service in 2028-2029.

Japan's submarine fleet — 22 diesel-electric submarines (the largest non-nuclear submarine fleet of any US-allied nation) — is undergoing gradual capability expansion. The 29SS class (Hamagiri lead ship) and subsequent 30SS class introduce enhanced quieting, improved torpedo systems, and Air Independent Propulsion (AIP) upgrades. Japan's submarines are considered among the most capable diesel-electric boats in the world, regularly evaluated as "threatening" to US Navy submarines in bilateral exercises.

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## **Part IV — Defense Industry: From Importer to Potential Exporter**

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### **Japan's Defense Industrial Base: Transformation Beginning**

Japan's defense industrial base has historically been oriented entirely toward domestic procurement — a consequence of Article 9 interpretations that prohibited arms exports until 2014, when Prime Minister Abe relaxed export rules to allow sales to allied nations and UN-sanctioned peacekeeping operations. The relaxation of export rules has been incrementally expanded since 2014, with the 2023 defense strategy explicitly targeting Japan as a defense exporter alongside Korea in the Asia-Pacific market.

Japan's current defense export pipeline includes:

- Type 12 extended-range missile: Export discussions with Australia and several ASEAN nations
- US Patriot PAC-3 missile components: Japan has authorized transfer of Japan-manufactured PAC-3 components to the US and third nations under US re-transfer authorization

- Naval vessels: Japan-Australia cooperation on next-generation submarine concepts (contributing to the AUKUS-adjacent submarine framework discussions)
- GSOMIA-grade technology sharing: Japan-UK-Italy GCAP represents the first joint development fighter programme Japan has participated in with Western allies

The defense industrial ambition is substantial. Mitsubishi Heavy Industries, Kawasaki Heavy Industries, IHI Corporation, and Mitsubishi Electric — Japan's defense prime contractors — want to access international markets to amortise R&D costs across larger production volumes. The current domestic-only market limits production runs to quantities where unit costs remain high. GCAP's export potential (to Australia, Japan, UK, and potential third parties) represents the template for how Japan's defense industry aspires to compete globally.

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## **Part V — The Alliance Architecture: US, Australia, and the Emerging Frameworks**

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### **Japan-US Alliance: Upgraded Coordination**

The Japan-US Alliance has been systematically upgraded in operational coordination since 2022. The US-Japan Defense Guidelines' revision, completed in 2024, updated the "roles, missions, and capabilities" framework to reflect Japan's counterstrike capability, expanded US Marine Corps Littoral Regime Force deployment in the Okinawa arc, and joint US-Japan command structure reforms that create more real-time operational integration between JSDF and US forces in Japan.

The physical US military footprint in Japan is also expanding. A US Marine Littoral Regime Unit (MLRU) has been established on Okinawa; pre-positioned US ground forces in the southwestern islands (Amami Oshima, Miyako, Ishigaki) are part of a distributed basing strategy explicitly designed to deny China the ability to neutralise Japan-based US forces with a single opening strike.

### **Japan-Australia: The Reciprocal Access Agreement**

Japan and Australia signed a Reciprocal Access Agreement (RAA) in January 2022 — the first such agreement Japan has signed with any country other than the United States — allowing Australian forces to conduct exercises in Japan and vice versa. The RAA formalises a bilateral defense relationship that has been deepening since the 2007 Japan-Australia Security Declaration. Australia's AUKUS submarine programme (US/UK nuclear-powered submarines based in Western Australia from 2027) creates a Pacific submarine concentration that complements Japan's conventional submarine deterrent and the US Navy's nuclear submarine assets at Guam.

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## **Conclusion: Article 9's Last Stand?**

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Japan's rearmament is proceeding with constitutional precision — using interpretive flexibility rather than amendment to authorise capabilities that were previously prohibited. Whether this approach is sustainable depends on whether Japan's Supreme Court or the domestic political system challenges the government's interpretive approach to Article 9. The LDP's parliamentary supermajority makes a formal amendment conceivable but politically costly; the interpretive approach avoids the political cost while achieving the security objectives.

The strategic logic is compelling. Japan faces a triad of nuclear-armed or nuclear-aspiring neighbours (China, North Korea, Russia) within range of its entire territory. The US Alliance remains the cornerstone of Japan's security, but the US's ability to project force in a Taiwan contingency — which would directly involve Japan's bases and territorial waters — faces growing challenges from China's A2/AD development. Japan's rearmament is not aggression; it is the rational response of a democratic nation to

a security environment that has materially deteriorated.

The \$58B defense budget of 2026 is the beginning, not the end. Japan's five-year defense buildup (¥43 trillion / \$290B total 2023-2027) will continue regardless of electoral cycles given the cross-party consensus that has developed around the security threat perception. Japan in 2030 will have a defense capability — in counterstrike missiles, next-generation air defense, submarine deterrence, and cyber/space domains — that bears little resemblance to the restrained, exclusively defensive posture that Japan maintained for the prior 75 years.

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All data from Japanese Ministry of Defense, IISS, SIPRI, and cited news sources.